

CASE STUDIES

MR. J. S., CPA: NEW VEHICLE-PRONE DEALER LOYALIST

Mr. J. S. is one of three senior partners in a small but highly productive CPA firm. He is also a millionaire. Mr. J. S. enjoys buying new vehicles and is completely turned off by the idea of buying used cars. To him, owning a used vehicle is like wearing someone else's old clothes. Mr. J. S. is a dealer loyalist in part because "[his] time is more valuable than shopping for a so-called big discount." In addition, Mr. J. S. buys from a dealer with whom he does business.

Again, networking and reciprocity are major factors underlying the motor vehicle purchasing habits of many new vehicle-prone dealer loyalists. How did Mr. J. S. acquire the motor vehicle dealer as his accounting client? By referring more than a dozen of his clients to the owner of the dealership before ever selling the dealer any of his accounting services. Previously, the owner had dealt with another accounting firm for years before realizing that this accounting firm had never referred one of its clients to him.

Now the dealer and Mr. J. S. have a strong reciprocal bond. One of the great advantages of being a self-employed business owner is the ability to leverage your organization's patronage habits. In the case of Mr. J. S., he also leverages his influence over several of his clients. He is the dealer opinion leader for many of his clients. Mr. J. S. makes it clear to each client he refers that the dealer is also a client. The dealer, in turn, is likely to give favorable service and price concessions to these clients. Over the past ten years, Mr. J. S. has essentially sold more than three dozen motor vehicles for his client, the car dealer. At the same time, the dealer has expended many thousands of dollars for accounting services from Mr. J. S.